ANALYSIS OF CORPORATE GOVERNANCE PRACTICES OF CHANDRAGIRI HILLS LIMITED (CGH)

Project Work Report

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Introduction

Corporate governance is an essential part of any listed company, especially in tourism, where trust and reputation directly affect business performance. For a company like Chandragiri Hills Limited (CGH), good governance is not just about meeting legal requirements but also about maintaining investor confidence, ensuring ethical practices, and building long-term sustainability (OECD, 2015).

Chandragiri Hills Limited is a well-known tourism company in Nepal, mainly recognized for its cable car service that connects Thankot to the hilltop at 2,551 meters, offering panoramic views of the Himalayas (Altitude Himalaya, 2024). Since opening in December 2016, the company has expanded into a complete tourism experience with a view tower, restaurants, cultural monuments, and a resort (Chandragiri Hills Limited, n.d.-a). Originally a private company, it was listed on the Nepal Stock Exchange in February 2021, bringing it under the Companies Act 2006, SEBON regulations, and NEPSE listing requirements (EMIS, 2024).

Becoming a public company introduced new responsibilities greater transparency, board accountability, and shareholder protection. In Nepal, corporate governance guidelines for listed companies emphasize board independence, audit oversight, and fair treatment of minority shareholders (SEBON, 2018). For CGH, these factors are especially important because it deals with both investors and a wide range of stakeholders, including tourists, employees, and the local community.

This report analyzes CGH's governance practices, focusing on its board structure, audit systems, shareholder engagement, transparency, ethics, and CSR initiatives. It identifies the company's key strengths, weaknesses, and areas for improvement in line with both national and international governance principles. By doing so, it highlights how tourism companies like CGH can move beyond basic compliance to become more accountable, ethical, and sustainable in the long run.

Corporate Governance Framework

Corporate governance refers to the system of rules, practices, and processes by which a company is directed and controlled. It involves balancing the interests of various stakeholders, including shareholders, management, customers, regulators, and the community. Good corporate governance ensures transparency, accountability, fairness, and ethical decision making in a company's operations, ultimately contributing to long-term sustainability and trust.

Board Structure and Independence

The Board of Directors of Chandragiri Hills Private Limited serves as the primary decision-making authority, responsible for overseeing the company's governance, setting strategic direction, and ensuring regulatory compliance. (Chandragiri Hills Ltd., 2024)

The board consists of five voting members. The majority of these members are closely associated with the company's founding or promoter group, reflecting the company's ownership and management structure.

Promoter Affiliated Directors

The four promoter-affiliated directors include Hem Raj Dhakal (who currently serves as the Chairman), Dilip Shekhar Shrestha, Kalyan Gurung, and Nabaraj Nepal. Their key functions are:

- Hemraj Dhakal- Leads board and sets strategic direction, ensures governance and stakeholder value.
- Dillip Shekhar Shrestha- Supports business development, investment planning, and oversight.
- Kalyan Gurung- Contributes to operational decision-making and tourism project expansion
- Nabaraj Nepal- Offers input on policy and financial planning, and supports board decisions.

Independent Director

In contrast to the promoter affiliated members, Bishnu Prasad Parajuli is the sole Independent Director on the board. His role is to provide an unbiased and objective perspective to the board's discussions and decisions, ensuring that the interests of all shareholders, including minority investors, are taken into account.

Company Secretary

Apart from the directors, Jhalak Raj Sharma serves as the Company Secretary (Chandragiri Hills Ltd., 2024). He manages the company's administrative, legal, and compliance-related matters. Although he participates in board meetings and processes, he does not have voting rights.

At the 13th AGM on January 5, 2023, four directors Hem Raj Dhakal, Uttam Kumar Nepal, Kalyan Gurung, and Dilip Shekhar Shrestha were elected unopposed for four-year terms, with Hem Raj Dhakal unanimously chosen as Chairman. The board is mostly promoter-led, with only one independent director, Bishnu Prasad Parajuli, who provides some objectivity and accountability. Thus, independent directors make up 20% of the board, reflecting a governance structure dominated by founding members with limited external oversight.

Management Team

Alongside the Board, Chandragiri Hills Ltd. is run by a professional management team that handles day-to-day operations and ensures strategic plans are executed effectively. The team is led by Arun Pradhan (CEO), a hospitality veteran with international experience. Key members include Prabindra Singh (Deputy GM), Binayak Pokharel (Finance Head), Jhalak Raj Sharma (HR & Admin Head), and Prabhakar Khadka (Sales & Marketing Head). Operations are further supported by managers for cable car services, top-station facilities, and F&B operations. They report directly to the CEO, who aligns their work with the board's overall governance and strategic goals.

Audit Committee

Based on a review of Chandragiri Hills Limited's 15th Annual Report (FY 2080/81), previous Annual General Meeting (AGM) agendas, and the company's official website, it appears that the company does not have a formal Audit Committee. Instead, the responsibility for audit related activities is managed directly by the full Board of Directors. Additionally, there is no information about an internal audit department or a specialized audit function within the company's governance structure. This means that all financial oversight and audit matters are handled collectively by the board rather than by a separate group focused solely on auditing.

General Role of an Audit Committee is to:

- Oversee financial reporting and accuracy
- Monitor internal control systems and risk management
- Ensure compliance with laws and regulations
- Review and coordinate with external auditors
- Enhance transparency and protect shareholder's interests

But at Chandragiri Hills Limited, these responsibilities are handled collectively by the Board of Directors, not a dedicated committee. The board approves financial statements, appoints the external auditor (PYC & Associates), and reviews the auditor's report during the AGM. No separate or specialized review of internal audit systems or risk management is disclosed. The absence of such disclosures suggests a minimal or informal audit governance structure.

Shareholder Rights

As a private limited company, Chandragiri Hills has limited shareholders, generally within its founding and investor group (Companies Act, Nepal, 2063). Shareholder meetings are conducted to discuss dividends and business expansion decisions, ensuring members can voice opinions and vote on key decisions.

Key points are:

- Shareholders can attend AGMs, vote on key matters, and access financial reports.
- Those holding 2.5%+ shares can propose resolutions or take legal action.
- Rights are protected by law, but major decisions are led by promoters.

Transparency and Disclosure

Chandragiri Hills demonstrates basic transparency through financial reporting and public AGM documentation(Chandragiri Hills Ltd., 2080/81; Chandragiri Hills Ltd., 2024). Key shareholder related events such as IPO procedures and share release are also disclosed. However, internal governance disclosures are minimal, with no formal description of specialized oversight mechanisms like audit committees or internal audit processes, limiting insight into internal controls and decision-making structure.

key practices include:

- Regular Financial Reporting: Publishes annual and quarterly financial reports (profit, revenue, EPS).
- AGM Agendas & Minutes: Discloses AGM details, including director elections and auditor appointments.
- Shareholder Updates: Provides information on IPO allotments, share lock-in expiry, and ownership changes.
- Basic Governance Disclosures: Shares board election results but lacks detailed governance frameworks.
- No Audit Committee Disclosure: No mention of internal audit mechanisms or sub-committees in reports.

Ethics and Compliance

Chandragiri Hills Limited maintains basic legal compliance but lacks formal disclosures on ethics and internal compliance systems.

Key points include:

- The company regularly holds AGMs, appoints auditors, and publishes financial reports in compliance with the Companies Act of Nepal and SEBON requirements (Companies Act, Nepal, 2063; SEBON, n.d.).
- An independent external auditor (PYC & Associates) is appointed annually to ensure financial transparency and integrity.

- The company does not publicly disclose a Code of Ethics, whistleblower policy, or corporate social responsibility (CSR) guidelines in its annual report.
- There's no mention of internal compliance audits, training programs, or anti-corruption frameworks in the official reports.

CSR and Sustainability Practices

Chandragiri Hills Limited (CGH) has undertaken key CSR and sustainability initiatives aligned with its strategic goals. In FY 2080/81, it allocated NPR 1,120,358 (1% of its profit) for CSR activities, following the Industrial Enterprises Act 2076. This supports CGH's values of morality and excellence, while strengthening community relations.

Key practices include:

- Hiring locals to support community employment.
- Boosting local economy through tourism and business opportunities.
- Implementing waste management and afforestation projects to protect natural surroundings.
- Ensuring tourism does not harm the ecological integrity of Chandragiri Hills.
- Promoting a clean and green environment for better guest satisfaction.

Observations and Key Findings

Observations

Based on review of Chandragiri Hills Limited's (CGH) governance framework, operations, and publicly available disclosures, several key observations emerge. These reflect both the company's current strengths and areas needing improvement as it continues operating in Nepal's dynamic tourism sector.

1. Board Structure and Independence

CGH's board consists of five voting directors, with four members closely affiliated with the promoter group and only one serving as an independent director (Chandragiri Hills Limited, 2024). While this structure satisfies the legal requirement for board independence, it reflects a highly promoter-led governance model, where independent oversight is minimal. Additionally, the company does not disclose detailed profiles of its board members, such as professional background, industry expertise, or gender diversity. This limits transparency and makes it difficult for investors and stakeholders to evaluate whether the board has the right mix of skills and perspectives to guide the company in a competitive tourism landscape.

2. Audit Committee and Financial Oversight

A key gap in CGH's governance is the absence of a formal Audit Committee. Responsibilities related to financial oversight, audit coordination, and risk management are handled collectively by the board (Chandragiri Hills Limited, 2024b). While CGH regularly publishes audited annual financial reports and quarterly updates, there is no evidence of an internal audit department or documented internal control systems. This lack of dedicated audit infrastructure reduces accountability and raises questions about how effectively financial risks are monitored.

3. Shareholder Rights and Engagement

CGH conducts Annual General Meetings (AGMs) where shareholders vote on key matters like board appointments and auditor selection (Sharesansar, 2024). This supports basic shareholder participation rights. However, there is no clear grievance redressal mechanism or ongoing engagement platform for minority shareholders. Communication appears limited to AGM discussions, meaning investor concerns or suggestions may not be adequately addressed outside these formal settings.

4. Transparency and Disclosure

The company provides regular financial statements, AGM agendas, and shareholder-related updates through its official website, reflecting basic transparency practices. However, key governance-related information such as director remuneration, meeting attendance, conflict of interest management, and internal policy disclosures is notably missing (Chandragiri Hills Limited, 2024b). This restricts stakeholder visibility into how decisions are made and whether governance practices go beyond compliance.

5. Ethics and Compliance

CGH publicly promotes ethical tourism and sustainable practices, aligning with its brand image as a responsible tourism operator. However, there is no publicly available Code of Ethics, whistleblower policy, or compliance training program. Without formal mechanisms to enforce ethical behavior or report misconduct, the company risks lacking internal accountability, even if ethical values are part of its branding.

6. CSR and Sustainability

CGH contributes to community development, afforestation, and local employment, allocating 1% of its profits (NPR 1.12 million in FY 2080/81) to CSR, in line with Nepal's Industrial Enterprises Act 2076 (Chandragiri Hills Limited, 2024a). However, the company does not issue a formal CSR or sustainability report, nor is there evidence of board-level oversight or long-term impact tracking, which limits transparency and evaluation of these efforts.

Key Findings

1. Board Structure and Independence

- The board is composed primarily of promoter-affiliated directors, with only one independent director (20%), meeting minimum regulatory requirements.

- However, lack of diversity, non-disclosure of board expertise, and absence of information on meeting attendance or director responsibilities limit board transparency and effective evaluation.

2. Audit Committee and Financial Oversight

- No formal audit committee exists, and audit functions are handled collectively by the board.
- While audited financial statements are published regularly, the lack of internal audit systems, risk management disclosures, and audit-specific oversight mechanisms suggests weak financial governance structures.

3. Shareholder Rights and Engagement

- Shareholders are allowed to vote on critical matters during AGMs, ensuring basic participation.
- However, the absence of a grievance redressal system and limited communication outside AGMs restricts continuous dialogue and responsiveness to shareholder concerns.

4. Transparency and Disclosure

- The company ensures basic financial transparency through timely reports and AGM-related information.
- But governance-related disclosures, such as director remuneration, board meeting frequency, conflict of interest policies, and internal oversight mechanisms, are not made public, reducing accountability.

5. Ethics and Compliance

- CGH adheres to legal compliance and appoints an external auditor annually.
- However, the absence of a Code of Ethics, whistleblower protections, and internal ethics monitoring limits the company’s ability to uphold strong ethical standards and protect whistleblowers.

6. CSR and Sustainability

- CGH participates in community upliftment, environmental conservation, and local employment initiatives, aligning with its responsible tourism vision.
- Still, the lack of a dedicated CSR report, clear targets, and board-level monitoring weakens the ability to track long-term impact and strategy alignment.

Strengths and Weaknesses

Based on the assessment of Chandragiri Hills Limited's (CGH) corporate governance practices, several strengths and weaknesses emerge. These reflect how well the company aligns with both Nepal's regulatory requirements and broader international standards of good governance.

Strengths

1. **Compliance with Basic Governance Requirements**
   CGH fulfills key regulatory obligations, such as conducting Annual General Meetings (AGMs), electing directors, appointing external auditors, and disclosing financial statements. It also meets the minimum legal requirement of having an independent director on its board. These practices show that CGH has built a foundation for corporate accountability and shareholder participation.
2. **Consistent and Timely Financial Reporting**
   The company publishes quarterly and annual financial reports in a timely manner. These reports are audited and shared with stakeholders, enhancing financial transparency. The appointment of an independent external auditor (PYC & Associates) at each AGM further **supports integrity in financial disclosures.**
3. **Ethical and Community-Oriented Branding**
   CGH emphasizes its mission of promoting responsible tourism and preserving cultural and environmental heritage. Its CSR activities such as hiring locals, managing waste, and contributing to afforestation demonstrate a clear alignment with community values and sustainable tourism practices.
4. **Strong Public Presence and Visibility**
   The company maintains active communication through its official website and public announcements. It keeps investors and the general public updated on operational developments, IPO-related events, and financial performance, which helps build trust and engagement with stakeholders.

Weaknesses

1. **Limited Board Diversity and Transparency**
   CGH's board is primarily composed of promoter-affiliated members, with only one independent director, representing just 20% of the board. There is no disclosure of board members' qualifications, gender diversity, or sector-specific expertise. This lack of transparency limits external confidence in the board's independence and strategic oversight capacity.
2. **Absence of a Formal Audit Committee**
   There is no dedicated Audit Committee at CGH. Audit responsibilities are handled collectively by the board, with no publicly disclosed information on internal audit mechanisms, meeting frequency, or risk management processes. This informal structure weakens financial oversight and internal controls.
3. **Insufficient Shareholder Engagement Mechanisms**
   While shareholders are allowed to vote during AGMs, the company lacks a structured grievance redressal system and ongoing communication channels outside these annual meetings. This reduces opportunities for shareholders to raise concerns or influence strategic decisions between AGMs.
4. **Weak Ethics and Compliance Infrastructure**
   CGH does not disclose a formal Code of Ethics, whistleblower policy, or anti-corruption mechanisms. Although the company promotes ethical values, these remain aspirational statements rather than enforceable policies. The absence of internal compliance audits or employee training further limits ethical enforcement.
5. **CSR and Sustainability Not Fully Integrated into Governance**
   Despite making contributions to CSR activities, CGH does not publish a standalone sustainability or CSR report. There are no measurable targets or indicators, and board-level oversight for CSR initiatives is not evident. This reduces accountability and makes it difficult to assess long-term social and environmental impact.

Suggestions for Improvement

While CGH meets basic legal requirements, there is room to improve its governance, transparency, and accountability. Strengthening these areas will support long-term growth and build greater trust among investors and stakeholders. Key suggestions include:

Board Structure

- Appoint at least two independent directors to improve objectivity.
- Disclose board member profiles, skills, and diversity to increase transparency.
- Encourage gender and sectoral diversity on the board.

Audit Committee and Financial Oversight

- Establish a formal Audit Committee chaired by an independent director.
- Set up an internal audit system and document risk management policies.
- Publish financial governance practices for accountability.

Shareholder Engagement

- Introduce a grievance redressal system for minority shareholders.
- Share AGM minutes and voting results on the website.
- Conduct annual investor briefings for continuous engagement.

Transparency and Disclosure

- Disclose key governance details like director remuneration, meeting attendance, and conflict of interest policies.
- Create a dedicated governance section on the website.
- Include a Corporate Governance Statement in the annual report.

Ethics and Compliance

- Develop a Code of Ethics and make it publicly available.
- Implement a whistleblower policy with safe reporting mechanisms.
- Conduct ethics training for employees and management.

CSR and Sustainability

- Publish an annual CSR/sustainability report with clear goals and impact metrics.
- Set long-term targets for social and environmental impact.

Chandragiri Hills Limited has a solid regulatory base but significant room to strengthen its corporate governance. Enhancing board independence, forming a dedicated audit committee, and improving investor communication and transparency will boost institutional credibility. Ethical standards can be reinforced through a Code of Ethics, whistleblower protections, and staff training. Additionally, CSR efforts should be formalized through board oversight, measurable goals, and continuous annual reporting. Strengthening these areas will improve accountability, foster stakeholder trust, and position CGH as a responsible and sustainable tourism leader in Nepal.

Conclusion

Chandragiri Hills Limited (CGH) has built a strong reputation as a leading tourism destination in Nepal, supported by consistent financial reporting, basic regulatory compliance, and CSR activities that align with its brand as a responsible tourism operator. The company fulfills fundamental governance requirements such as holding AGMs, appointing auditors, and maintaining one independent director, which reflects a minimum adherence to Nepal's Companies Act and SEBON guidelines.

However, CGH's governance structure remains highly promoter-centric, with limited board diversity, weak internal oversight, and minimal disclosure of governance practices beyond financial reports. The absence of a dedicated audit committee, lack of a formal Code of Ethics, and no whistleblower or grievance mechanisms indicate that its governance framework is still evolving and does not fully meet international best practices such as the OECD Principles of Corporate Governance. Similarly, while CGH engages in CSR initiatives, there is no clear sustainability reporting or measurable long-term impact tracking, which limits stakeholder confidence.

To transition from basic compliance to robust governance, CGH should enhance board independence, establish stronger internal audit systems, improve transparency on decision-making processes, and formalize ethics and sustainability frameworks. These improvements would not only protect shareholder and stakeholder interests but also strengthen investor trust and long-term competitiveness. By embracing these reforms, CGH has the potential to become a benchmark for good governance within Nepal's tourism sector, aligning profitability with sustainable and responsible growth.

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